

ADVICE ON LIABILITY

Defective Premises and Pure Economic Loss

1. The issue is whether the developer owes a duty in negligence for the cost of repairing a defective foundation, that loss being purely economic.
2. We submit the developer is liable. A builder and a local authority owe a duty of care in respect of defective building work under *Anns v Merton London Borough Council* [1978] AC 728, applying a two-stage test of proximity followed by policy. That duty was first imposed on a builder in *Dutton v Bognor Regis Urban District Council* [1972] 1 QB 373.
3. On that authority the recoverable loss includes the cost of averting a danger to the health and safety of the occupiers created by the defect.
4. We acknowledge that the defendant will rely on *Murphy v Brentwood District Council* [1991] 1 AC 398, and on the treatment of pure economic loss in *Caparo Industries plc v Dickman* [1990] 2 AC 605, but we submit the *Anns* approach is to be preferred and remains good law.

TABLE OF AUTHORITIES

- *Anns v Merton London Borough Council* [1978] AC 728
- *Dutton v Bognor Regis Urban District Council* [1972] 1 QB 373
- *Murphy v Brentwood District Council* [1991] 1 AC 398
- *Caparo Industries plc v Dickman* [1990] 2 AC 605